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Enhancing Female Entrepreneurship and Employment

in the MSME Sector in Tamil Nadu



Introduction

India has about 63 million micro, small, and medium enterprises (MSMEs). The MSMEs already contribute around 30% to India's GDP and close to 50% to exports.¹ They account for almost 40% of India's manufacturing output and create around 11.10 crore jobs.² MSMEs have the capacity to generate employment, nurture entrepreneurship and bring in significant gains by plugging themselves into global value chains. The MSME sector in India has shown remarkable resilience even under the current trying domestic and global economic circumstances.

Another, often-overlooked contribution of the MSME sector is its potential to accelerate the economic inclusion of typically underrepresented groups, such as women. Indeed, MSMEs record a relatively higher female labour participation rate (24% in 2021) than other industries.³ However, this figure is still dismally low in absolute terms, and has stagnated over time. When it came to leadership roles in MSMEs, female

participation was no more than 10% in 2021.⁴ Only 14% of all entrepreneurs are women, of which around 79% are small and self-financed.⁵

Compared to their male-owned counterparts, female-owned MSMEs are fewer in number, smaller in scale and concentrated in different industries. Around 19.7 million MSMEs are involved in manufacturing, 23 million in trade, and 20.6 million in other services. Of these, only 15 million MSMEs are women-owned and 70% of them are involved in manufacturing, particularly in textiles, apparel, handicraft, and food and beverages.⁶ Over 99% of MSMEs come under the 'Micro' category, with only 0.52% (or 331,000) enterprises coming under the 'Small' category, and 0.01% (or 5,000) enterprises coming under the 'Medium' category.⁷ Within these categories, no more than 20% of micro businesses, 5% of small businesses and 2% of medium-sized businesses are owned by women.⁸

Women in Indian MSME: Key Statistics

14% Women entrepreneurs of total	24% Female labour participation	10% Women in MSME leadership	79% Women MSMEs self-financed
15M Women-owned MSME units	70% Women MSMEs in manufacturing	20% Micro units women-owned	2% Medium units women-owned

1. Contribution of MSMEs to GDP", Ministry of Micro, Small, and Medium Enterprises, Press Information Bureau, Government of India, 9th August 2021. Release ID: 1744032. <https://www.pib.gov.in/PressReleasePage.aspx?PRID=1744032>

2. 2.2.4 Employment", Annual Report 2021-22, Ministry of Micro, Small, and Medium Enterprises, Government of India: . 28.

3. Employment Trends in MSME Sector", Ciel HR Services, 2021.

4. Ciel HR Services, 2021.

5. Global Entrepreneurship Monitor India National Report 2020-21: . 10.

6. Opportunities and constraints of women-owned very small enterprises in India", International Finance Corporation, 2022: . 4-5. <https://www.ifc.org/wps/wcm/connect/2da6ccb4-5f11-4c25-8937-5a78ed26e9ce/Opportunities-and-Constraints-of-WVSEs-in-India.pdf?MOD=AJPERES&CVID=nZG2110>

7. 2.2.1 Estimated number of MSMEs in country", Annual Report 2021-22, Ministry of Micro, Small, and Medium Enterprises, Government of India: . 26.

8. MSME Annual Report 2020-21.

In this context, we propose a roundtable focused on women in the MSME sector and the policy issues they face. The roundtable aims to provide a closed-door platform to discuss the opportunities and challenges

associated with female entrepreneurship and workforce participation at the ground level, in order to collate policy recommendations towards improving the ecosystem for women in the MSME sector.

Challenges Faced by Women Entrepreneurs

Key Focus Areas of the Seminar⁹



Financial Inclusion

Many women entrepreneurs tend to resort to self-financing or informal sources of finance (often with higher interest rates), due to the lack of technical know-how or insufficient credit history. A vast majority of women do not have assets in their name to leverage as collateral. High documentation requirements present further obstacles to obtaining credit. However, the gender gap in financing is not merely due to the lack of collateral: Credit received by women is only 27 % of the deposits they contribute, compared to 52 % for men.



Technological Gap

Most women entrepreneurs participate in sectors requiring low technical education and start-up capital, such as traditional goods or services (pickles, papad, dairy, handloom, cosmetics, etc.). Women have low representation in sectors like metallurgy, electronics, minerals, pharmaceuticals, aeronautics, etc., which require a higher level of technological sophistication and present significant barriers to entry. Women must be continually educated and qualified in all practical fields of business administration and STEM to gain technical expertise and experience.



Market Connect

Women entrepreneurs have limited access to industry contacts, professional networks, mechanisms and know-how that are necessary for running and growing a business. Women participating in the MSME activities may be more active on the production front rather than business management and product marketing. Market linkages are poor as MSMEs are located far from consumer markets and interactions with buyers are infrequent. Women are further hindered by low geographical mobility. As a result, female-owned MSMEs are unable to scale up and are largely micro-enterprises.



Regulatory Aid

Registration is a cumbersome process: Registering a business requires compliance with various norms like GST, labour regulations, electricity load, etc., which fall under the ambit of multiple regulators. This presents a challenge not only for MSMEs as a whole, but women in particular. While there are many state and central schemes, subsidies, incentives, tax/duty exemptions, etc. in place to support entrepreneurs, there is a need to improve awareness and take-up to translate them into improved outcomes.

9. The following papers informed our selection of focus areas:
 Opportunities and Challenges faced by Women Entrepreneurs in India. Gupta and Aggarwal (2015)
 Women's Access to Banking in India: Policy Context, Trends and Predictions. Chavan (2020)
 Women Entrepreneurship in Odisha: Current Status, Challenges and Future Prospects. Swagatika Nanda (2017)
 Opportunities and Challenges faced by Women Entrepreneurs in India. Gupta and Aggarwal (2015)
 Women's Access to Banking in India: Policy Context, Trends and Predictions. Chavan (2020)
 Women Entrepreneurship in Odisha: Current Status, Challenges and Future Prospects. Swagatika Nanda (2017)

Apart from the above mentioned challenges, many of the challenges faced by women can be attributed to the sociocultural fabric of society, which has not sufficiently empowered them. This shortfall is evident in various forms, including stereotypes that hinder women's access to education and technical training, confine them to unpaid care work, and enforce occupational sex

segregation. These factors collectively impede their growth. Therefore, socio-cultural emancipation is essential for the advancement of women. The secondary research provides ample evidence of multifaceted challenges faced by women entrepreneurs. The section below sheds lights on a few of them.

Secondary Research

Challenges faced by Women Entrepreneurs in Tamil Nadu

Sweetlin and Thangam (2023)

Sweetlin and Thangam (2023)¹⁰ showcase how the women workforce participation rate increased only marginally from 31.5% in 2001 to 31.8% in 2011, in Tamil Nadu. This negligible increase over a ten-year span can be attributed to the traditional roles assigned to women, which limit their mobility, communication, and networking—key elements for success in entrepreneurial endeavours. The study outlines various programs designed for women entrepreneurs, emphasising the government's commitment to integrating more women into the economic landscape. However, it also sheds light on the challenges faced by women and specifies the multi-faceted restrictions on women originating from religion, society and other factors.

Rani (2021)

Rani (2021)¹¹ delves on the challenges faced by women entrepreneurs and available institutional assistance for them. The research highlights a trust deficit from credit institutions towards women entrepreneurs, attributing it to gender biases, and identifies further obstacles such as financial barriers, lack of supportive networks, and lower educational attainment. With a special focus on Tamil Nadu, the author also lists several organisations and financial institutions supporting women entrepreneurs in the MSME sector. It emphasises that while policies and programs are formulated for women entrepreneurs, they often fail in outreach and engagement with the intended beneficiaries and suggest prioritizing the execution of existing beneficial schemes over creating new ones.

Fathima, et al.(2021), Devi & Kavitha (2021)

Other studies done on women entrepreneurship in Tamil Nadu (Fathima, A, et al., 2021¹² ; Devi & Kavitha, 2021¹³) suggest social challenges that are constituted by traditionally lower social status and the unequal distribution of household chores. Lack of entrepreneurial spirit, lack of security, and lack of family support, among others, are direct manifestations of such societal structures.

10. Sweetlin, D. and Dr. Thangam, P. Mary (2023). A Study of Women Entrepreneurship in Tamil Nadu. *European Journal of Molecular & Clinical Medicine*, 10(1). <https://ejmcm.com/uploads/paper/b4c2e43858585344d1abb7bc3c65fe98.pdf>

11. Rani, E. R. (2021). Issues and Challenges of Women Entrepreneurs in Micro, Small and Medium Enterprises (MSMEs) of Tamil Nadu. *International Journal of Disaster Recovery and Business Continuity*, 12(1). https://www.researchgate.net/publication/350515390_Issues_and_Challenges_of_Women_Entrepreneurs_in_Micro_Small_and_Medium_Enterprises_MSMEs_of_Tamil_Nadu

MSME Sectors, Schemes, and Clusters in Tamil Nadu

The state of Tamil Nadu has 38 districts, 312 taluks, and 17,662 revenue villages. It spans over 130,060 km², making it the 11th largest state in the country. It is bordered by Kerala, Andhra Pradesh, Karnataka, and the Bay of Bengal. As per the census (2011), the population of Tamil Nadu stands at 7,21,47,030 of which 3,61,37,975 are males and 3,60,09,055 are females. Moreover, 48.40% of the state residents are urban with a literacy rate of 87.04%, whereas 51.60% people are rural with a literacy rate of 73.54%¹⁴. In 2024, the sex ratio in the state stood at 99.611 males per 100 females, implying about 150,000 more females¹⁵. In terms of economic value, Tamil Nadu is the second largest economy in India, equalling 8.8% of the national GDP, with a state GDP of USD 265 billion (2019-20)¹⁶. It is also the third largest exporter of India with the manufacturing sector contributing 40% to the total state GDP¹⁷. Harboursing over 23.6 lakh registered MSMEs, with a total investment of Rs. 2.73 lakh crore, the state has the third largest number of MSMEs and the highest number of non-farming MSME units in the country¹⁸.

Moreover, the state has demonstrated exceptional commitment to inclusivity, with 10.37% of enterprises being women-owned – the highest in the country – along with policy

interventions for transgender individuals, who are supported in only four other states across the country¹⁹. Additionally, the state also provides for the highest employment generation by women-owned businesses in India²⁰.

For the facilitation of the sector, the MSME department of the state has several bodies under its administrative control. These include Entrepreneurship Development and Innovation Institute-Tamil Nadu (EDII-TN), Tamil Nadu Small Industries Development Corporation Limited (SIDCO), Tamil Nadu Start-up and Innovation Mission (TANSIM), The Tamil Nadu Small Industries Corporation Limited (TANSI), and the MSME Trade and Investment Promotion Bureau, for enabling an entrepreneurial ecosystem and promoting the MSMEs²¹. The state also has a Single Window Portal to simplify the approval, clearance, licencing and the renewal procedures and provides for more than 160 different services under its ambit²². In totality, the state has ensured a holistic and conducive business ecosystem for MSMEs to thrive with accessible support from government bodies and agencies at the disposal of all entrepreneurs including women.

12. Fathima, A., et al. (2021). Study on Challenges and Issues of Women Entrepreneurs in Tamilnadu with Reference to Chennai District by Likert Scaling Technique. *Annals of the Romanian Society for Cell Biology*, 25(3), 8076-8086. https://www.researchgate.net/profile/Elizabeth-Rani-R/publication/350515390_Issues_and_Challenges_of_Women_Entrepreneurs_in_Micro_Small_and_Medium_Enterprises_MSMEs_of_Tamil_Nadu/links/60644fd2299bf173677e23fa/Issues-and-Challenges-of-Women-Entrepreneurs-in-Micro-Small-and-Medium-Enterprises-MSMEs-of-Tamil-Nadu.pdf
13. Devi, V. N., & Kavitha, G. (2021). Women entrepreneurship-A study on challenges faced. *UGC Care Group Journal*, 25(1), 58-65. https://www.researchgate.net/profile/Dr-Devi-8/publication/353793367_Kala_Sarovar/links/611205101e95fe241abe682b/Kala-Sarovar.pdf
14. <https://www.census2011.co.in/census/state/tamil-nadu.html>
15. <https://statisticstimes.com/demographics/india/tamil-nadu-population.php>
16. <https://www.msmetamilnadu.tn.gov.in/why-tamilnadu.php>
17. <https://kinaracapital.com/here-is-all-you-should-know-about-msmes-in-tamil-nadu/>
18. <https://www.msmetamilnadu.tn.gov.in/#:~:text=Tamil%20Nadu%20has%20the%20third,number%20of%20non%2Dfarm%20units.>
19. <https://www.niti.gov.in/sites/default/files/2023-03/Decoding-Government-Support-to-Women-Entrepreneurs-in-India.pdf>
20. <https://www.thehindubusinessline.com/data-stories/data-focus/50-per-cent-of-women-owned-msmes-in-five-states/article67899183.ece>
21. <https://www.msmetamilnadu.tn.gov.in/edii.php#chart-line>
22. [https://www.msmetamilnadu.tn.gov.in/single-window-portal.php#:~:text=Through%20the%20portal%20\(www.tnswp,Health%20and%20Preventive%20Medicine%20etc.](https://www.msmetamilnadu.tn.gov.in/single-window-portal.php#:~:text=Through%20the%20portal%20(www.tnswp,Health%20and%20Preventive%20Medicine%20etc.)

Sectors

Tamil Nadu is an attractive destination for investment due to its skilled manpower and abundance of resources. The state leads in several sectors like minerals, metals, pharmaceuticals, textiles, engineering components, leather, agro-based products and more. It produces the highest volume of **cloves, bananas, and tapioca**. Moreover, it is among the top producers of coconut and groundnuts in the country²³. The state is recognised as one of the global automobile hubs and is also considered as the '**Automobile Capital of India**' and '**Detroit of Asia**'. Moreover, the state's capital Chennai is known as the '**SaaS Capital of India**' and is considered as the **Heavy Engineering Hub** with multiple manufacturers of heavy electrical equipment.

Some of the focus and sunrise sectors classified by the government of Tamil Nadu are²⁴ -

STATE HIGHLIGHTS

- | Automobile Capital of India
- | Detroit of Asia
- | SaaS Capital of India
- | Heavy Engineering Hub
- | Top Producer: Cloves, Bananas, Tapioca

Focus Sectors are established sectors in the state which have proved to be inclusive and successful over the past decades.



Automobile & Auto Components

There are 1400+ factories producing automobile related products in the state. It contributes 35% to India's total auto-component production along with 30% of India's total Auto Exports.



Chemicals & Petrochemicals

With more than 2,500 chemical factories and 8,000 MSMEs, Tamil Nadu not only has the base for many leading chemical and petrochemicals manufacturers but has also exported huge volumes of chemicals and petrochemicals in recent years.



Aerospace and Defense

There are 3 Centres of Excellence providing industry 4.0 services to MSMEs and an Investment of \$510 million has been announced for the Defence corridor in the state.

23. <https://foodprocessingindia.gov.in/state/tamil-nadu>

24. <https://investingintamilnadu.com/DIGIGOV/TN-pages/msme.jsp?pagedisp=static>



Pharma and Biotech

It was the first state to set up a pharma park in 1978. Its share in the national output is 2.8%, making it the fifth largest manufacturer and fourth largest employment generator in India.



Electronic Hardware

Tamil Nadu accounts for 18% of the total national production of Electronics. It is the largest exporter and the second largest manufacturer of electronics in India. There are also two sector-specific SEZs in the Kancheepuram district of the state.



IT & ITeS

The state has received 11% of the total IT investments in India and is the third largest software exporter of India. Additionally, Chennai has six submarine cables.



Renewable Energy

The state ranks 12th in the world for wind energy output and has 35 GW offshore wind energy potential. It also has ~22 GW of installed capacity of renewable energy.



Heavy Engineering

Contributing 19% to the national total, the state ranks second in the general and special purpose machinery production. It is also fourth in the heavy electrical equipment production, equalling 8% of the national total.



Glass and Ceramics

The state produces more than \$715 million worth of output. It has the largest floating glass making plant in India and a highly efficient district for ceramic production.



Iron and Steel

The state has the highest steel usage of 10 million tonnes in the country. Its manufacturing output is valued at \$3 billion with inferred reserves of iron ore at 180 million tonnes.



Machine Tools

The state has a 20% share in the national machine tools manufacturing output with a worth of more than \$240 million – with Coimbatore as the hub. It also has more than 150 machine tools & allied units. Moreover, it contributes 16% of the overall employment pertaining to this sector.



Industrial Parks

It has 24 state owned SIPCOT Parks, 42+ Operational SEZs, 3 FTWZs, 30 Private Industrial Parks, and 120+ SIDCO Parks for small scale Industries.

Source: Guidance Tamil Nadu, Government of Tamil Nadu.

Sunrise sectors are emerging sectors which have high growth potential. These are: -

- Electronics System Design & Manufacturing
- Medical Electronics, Devices and Equipment
- Electric Vehicles, EV Cell & Battery Manufacturing
- Footwear, Finished Leather Goods and Polyurethane Fabric
- Technical Textiles including Medical Textiles
- FinTech

Schemes

The government of Tamil Nadu realises that there is a need for institutional support for encouraging women entrepreneurship in the state. Through an array of policies with special provisions for women entrepreneurship, the state has been able to lead the charts in women entrepreneurship in the MSME sector in the country. Some of these facilitating schemes and policies are –

01 **New Entrepreneur cum Enterprise Development Scheme (NEEDS)**²⁵

The scheme is unique and specific as it only caters to the first entrepreneurial project of the first generation entrepreneurs. Provisions for loan assistance, capital subsidy, and interest subvention are specified in the policy. Only manufacturing and service sector units with project cost ranging from Rs. 10 lakhs to Rs 5 crores are eligible for the scheme. There is a provision for age relaxation of up to 10 years in eligibility criteria for several groups including women.

10-year age relaxation in eligibility criteria for women applicants

02 **Unemployed Youth Employment Generation Programme (UYEGP)**²⁶

This policy was crafted to tackle the unemployment of socio-economically weaker sections of the society. The applicants must have successfully completed 8th standard and should have a family income of less than Rs. 5 lakhs. Additionally, there are provisions for loan assistance and individual-based capital subsidy. This policy fills in the gap created by NEEDS as the eligible projects can only be trading businesses with maximum project cost of Rs. 15 lakhs. There is a provision for age relaxation of up to 10 years in eligibility criteria for several groups including women.

Provision for age relaxation of up to 10 years in eligibility criteria for women

25. https://msmeonline.tn.gov.in/needs/needs_desc.php

26. https://msmeonline.tn.gov.in/uyegp/uyegp_desc.php

03

Capital Subsidy²⁷

All the MSME units in the state can avail 25% capital subsidy on the eligible plant and machinery. An additional capital subsidy is also provided for micro units at 10%, units expanding into higher category at 5%, and units with installed plant and machinery for promotion of technology at 25%. Among other groups, women-owned units also get an additional capital subsidy of 5% on the cost of plant and machinery.

Women-owned units get an additional capital subsidy of 5% on cost of plant and machinery

04

Export Promotion and Marketing Support Scheme for MSMEs²⁸

The scheme aims to enhance the exposure of MSMEs for facilitating a market for their products in foreign countries. Assistance for international exhibitions, trade exhibitions, and putting up stalls, is provided to select MSMEs. Women and other minorities are taken care of by provisions like rent, free space in exhibitions, and providing for overhead share of air fare.

Provisions like rent, free space in exhibitions, and overhead share of airfare for women & minorities

05

Tamil Nadu Start-up and Innovation Policy 2023²⁹

The policy is drafted by the state government with the vision to become one of the top 20 global start-up destinations. The policy objectives include facilitating 15,000 start-ups, ensuring balanced and sustainable growth across cities, inviting investors for creating a pool of funds, encouraging innovation, and facilitating the overall start-up ecosystem of the state, among others. The policy prescribes Start-up TN to earmark 25% of the total TANSEED assistance and enable exclusive accelerator programs for women entrepreneurs. The state also contributes 40% towards specially created funds which include women as beneficiaries. The policy also provides for formation of an exclusive Start-up Mission for women, which aims for the holistic development of women entrepreneurs through financial assistance, technological support, guidance, and mentorship. Additionally the policy makes provisions for women scale-up centres and mentorship support through other successful women.

25% of TANSEED earmarked for women · Exclusive accelerator programs · Women scale-up centres · 40% fund contribution towards women beneficiaries

27. <https://www.msmetamilnadu.tn.gov.in/capital-subsidy.php>

28. https://www.msmeonline.tn.gov.in/images/TN_Schemes_Booklet_Draft_09072022_v10.pdf

29. <https://startuptn.in/wp-content/uploads/2024/01/Tamil-Nadu-Startup-and-Innovation-Policy-2023.pdf>

Tamil Nadu Industrial Policy 2021³⁰

The policy aims to increase the investment in the state for its industrial growth, along with improving the ease of doing business using its skilled workforce. It also aims to achieve a balanced regional development, accelerate the innovation ecosystem and investment climate, attract FDI, and encourage exports. It also upholds the amendments made by the state government in 2017 to make provisions for employing women staff for night shifts to increase their employment opportunities. Moreover, it promises additional incentives to industries that encourage employment of minority groups including women.

Additional incentives to industries that encourage employment of minority groups including women

Special Scheme for Technical Textiles, MMF (Man Made Fibre) Yarn from Recycled Products, MMF Fabric & Apparel Manufacturing 2023³¹

The scheme is an extension of the Tamil Nadu Industrial Policy 2021 with various incentives for Technical Textiles and its diversification, MMF Yarn from Recycled Materials & MMF Fabric, Apparel Manufacturing, and Support for Common Facility Centres (CFCs). Skill support is also provided under this scheme in the form of training subsidies. An additional subsidy of Rs. 2000 can be availed per worker per month for 6 months. Women among other groups are also eligible beneficiaries under the scheme.

An additional subsidy of Rs. 2000 can be availed per worker per month for 6 months — women are eligible beneficiaries

Tamil Nadu New Integrated Textile Policy 2019³²

This policy specifies its objectives to create and enhance a sustainable, efficient, and innovative value chain of the textile industry. It is steered to double the textile exports of the state, while creating more employment opportunity and regional balance growth. The incentives in the industry are categorised based on these subsectors – spinning, handloom, power-loom, processing, knitting and garmenting, technical textiles, textile parks, and exports. There are also specific provisions for the southern districts including skill development, infrastructure support, single window clearance, state textile advisory committee, GST, and FDI. Under skill development, the policy clearly mentions its intentions of increasing the employability of women to increase the state's workforce. An additional grant of up-to 10 crores per Textile Park is also sanctioned for women in knitting, apparel, and the garment sector for setting up supplementary infrastructure like creches, women hostels etc.

An additional grant of up to Rs. 10 crores per Textile Park for women in knitting, apparel, and garment sector for setting up supplementary infrastructure like creches, women hostels etc.

30. https://investingtamilnadu.com/DIGIGOV/StaticAttachment?AttachmentFileName=/pdf/sector/Industrial_Policy_2021.pdf

31. https://cms.tn.gov.in/sites/default/files/go/ind_e_70_2023.pdf

32. https://investingtamilnadu.com/DIGIGOV/StaticAttachment?AttachmentFileName=/pdf/sector/Tamil_Nadu_New_Integrated_Textile_Policy_2019.pdf

Tamil Nadu Food Processing Policy 2018³³

The policy was introduced to help prepare the state in becoming the food processing hub of India. Among many, some of the objectives listed in the policy include better profit margins for farmers, increased employment opportunities, adequate infrastructural facilities, innovation and upgradation of technology, research and development, waste reduction, and increase in the value addition of the supply chain. The seriousness of this policy can be understood through the incentives planned, including 24x7 power supply, priority in land allotment and water supply, extension of capital subsidy, provision of interest subsidy, exemptions for state goods and services tax (SGST), stamp duty, market fee, market and transport assistance, export incentives, among others. An additional interest subvention of 2% per annum is also provided on term loans availed for fixed capital investment by women and SC/STs starting new enterprises.

Additional interest subvention of 2% per annum on term loans availed for fixed capital investment by women and SC/STs starting new enterprises

Amma Two-Wheeler Working Women Scheme³⁴

This scheme is provided by the Social Welfare and Women Empowerment Department of the state to facilitate their economic pursuits and financial independence. Each year about 1 lakh working women avail this scheme. Maximum subsidy provided under the scheme is 50% for gearless/auto-gear two wheelers. Moreover, of the total allocation, 21% is reserved for women belonging to SCs, 1% for STs, and 4% for differently-abled women.

Apart from above mentioned schemes, others include, but are not limited to³⁵ the-Tamil Nadu Small Industries Development Corporation (SIDCO) Initiative, subsidy schemes for Industrially Backward Blocks and Agro-Based Enterprise, Annal Ambedkar Business Champions Scheme (AABCS), Special Capital (Investment) Subsidy, Mahalir Thittam, and 'Thozhilanangu.' All these policies, schemes, and provisions made by the government of Tamil Nadu ensure that the state retains its listing as one of the most conducive states for women entrepreneurs and economic growth in India.

21% reserved for SC women · 1% for ST women · 4% for differently-abled women

33. https://investingintamilnadu.com/DIGIGOV/StaticAttachment?AttachmentFileName=/pdf/sector/Tamil_Nadu_Food_Processing_Policy_2018.pdf

34. <https://www.myscheme.gov.in/schemes/atwsfw#benefits>

35. <https://www.tn.gov.in/scheme>

Clusters

For Tamil Nadu to reach its ambitious target of USD 1 trillion GSDP by FY31, the state has identified the manufacturing sector as the driver for its growth. To achieve this, the state strives to increase the share of its manufacturing sector from about 18% to about 24% by FY31.³⁶ The realisation of this target demands the state to leverage the presence of its manufacturing clusters. However, what is more important is to ensure 'participatory growth', where women enjoy an opportunity to contribute towards overall state development by utilising their entrepreneurial spirit. While leveraging the advantage of all clusters is pivotal, especially assisting and empowering those with higher women representation would ensure holistic growth. The figure below highlights some industry-specific clusters with their prominent presence in some regions:³⁷

Industrial Clusters in Tamil Nadu



Figure 1: Industrial Clusters in Tamil Nadu

Clusters of Focus³⁸



Textiles and Apparel

Tamil Nadu has one of the largest presences of textile and apparel industry in India. Being the top exporter of apparel, it contributes about 28% of all employment in the textile and apparel industry in India and contributes about 33% of all textile business of the country. The state has emphasised a lot on its textile production and has a dedicated textile policy (2019) and a special scheme for technical textiles (2023) in operation. Within the state, however, there are a few regions that have a well-established network of textile and apparel clusters, for example, the Tiruppur cotton knitwear cluster consists primarily of MSMEs inter-linked with each other in terms of input and output market linkages. Moreover, the cluster caters to leading global brands where few firms have also managed to move into more value-adding premium segments. Its proximity to the biggest yarn producer in the country – Coimbatore, also makes its geographical location ideal for all kinds of apparel production.

CHALLENGES

- The state produces only around 5-7 lakh bales annually but consumes around 110-115 lakh bales per year. Although it has a potential for cultivating high-value-added speciality cotton (such as organic and naturally coloured cotton), there is a lack of R&D in the sector. This is primarily because of a lack of funding that goes into R&D.
- Increased competition from states like West Bengal, Bihar, Gujarat, and Madhya Pradesh limits the scope of expansion within the state.
- Whereas traditional looms are manufactured in the state, advanced looms are imported. Building native capacity to develop advanced looms would add to both the strength and employment of the sector.
- High power costs are making the overall price uncompetitive.
- Women workers are paid much less relative to their male counterparts. Moreover, there has been no real revision in the minimum wages by the government authorities over the last decade.

36. Policy Note (2021-22), Industries Department, Government of Tamil Nadu. Available at https://cms.tn.gov.in/sites/default/files/documents/ind_major_e_pn_2021_22.pdf

37. <https://www.msmetamilnadu.tn.gov.in/enclosers/MSME%20Committee%20Draft%20Report.pdf>

38. The Tamil Nadu Small Industries Development Corporation (TANSIDCO), under the MSME Dept., Government of Tamil Nadu, is the nodal executing agency for the promotion of clusters in the state. TANSIDCO, in its role as the nodal agency, identifies and promotes clusters in the state



Agro and Food Processing

With approximately 24,000 SMEs and 1,100 medium and large units engaged in the sector, Tamil Nadu has a vast ecosystem of agro and food processing industry. With the second highest number of food processing units (more than 24,000)³⁹ in the country, it contributes about 7% towards India's food processing output. The state also exports agro and food-based products to the tune of around 1.5 billion USD annually.⁴⁰ It has a dedicated food processing policy for the state (2018). In terms of employment, the sector engages about 5 crore people both directly and indirectly.⁴¹ Though Tiruppur is known as a 'textile city', it is also referred to as the poultry hub. Poultry farming involves the farming of chickens, ducks, turtles, and geese. According to the 2019 census of Animal Husbandry, Tiruppur region has a backyard poultry population of about 11 lakhs and Farm Poultry of about 1.5 crore.⁴² Moreover, the district also has 30 chilling units for milk storage and refrigeration purposes. Its proximity to nearby clusters like Erode (turmeric), Nammakal (poultry farming and vegetable oil), and Coimbatore (processed milk and dairy products) also creates a conducive environment for the overall growth of the sector.

CHALLENGES

- The industry faces a significant shortage of essential infrastructural facilities, such as common waste disposal sites, biogas plants, bio-fertilisers, testing laboratories, warehouses, and cold storage facilities.
- The commercial potential of by-products like 'cashew apples' is overlooked, requiring technological investment to convert 'waste' into marketable products, which is currently lacking.
- Farmers lack a price support system, leading to the sale of their products at reduced prices and diminished incentives.
- There is inadequate flow of credit, especially for working capital requirements, coupled with bureaucratic hurdles in obtaining business loan approvals.
- Delay in payment can be found from distributors.
- Lack of focus on quality and safety standards raises concerns about safety and reliability.

39. <https://www.tngim2024.com/event-details/13>

40. https://foodprocessingindia.gov.in/uploads/state_ut/MoFP11614074349Tamil_Nadu.pdf

41. https://agritech.tnau.ac.in/pdf/Agro_and_Food_Processing.pdf

42. <https://tamil.vkp-tnrtp.org/wp-content/uploads/2023/06/TIRUPPUR-FINAL.pdf>

Tiruppur Roundtable

Key Insights



Roundtable with Women Entrepreneurs

Participants: Women entrepreneurs based in the Tiruppur, Erode, Coimbatore, Namakkal districts from the garments, textiles, and food processing sectors.

Many women entrepreneurs in Tiruppur who are a part of grassroots organisations like the Rights Education And Development Centre (READ) play a major role in supporting female MSME entrepreneurs, by raising awareness, offering education and trainings, conducting advocacy, creating market linkages, enabling partnerships, and offering overall guidance. Consequently, female entrepreneurs who are associated members of such organisations get constant support and handholding through every stage of their entrepreneurial journey.

OPPORTUNITIES



Financial Autonomy

- Being able to earn an income and support their own households motivated the neighbourhood women to be gainfully employed.



Self-Confidence

- All the women entrepreneurs were positive about their work and their association with READ. Their zeal, resilience, and confidence were key drivers for their sustained business activity. Social taboos continue to hinder their business.

● **Market Linkage with Major Corporates**

- Women entrepreneurs were able to supply orders to major corporate buyers but needed logistical support.
- This made a pan India presence of their product and more work opportunities for them. A close linkage with industry bodies and associations would augment their business opportunities.
- Association with Co-optex would further enhance their product visibility.

● **Leveraging Training Opportunities**

- Banks offer skill training opportunities across the state. Moreover, social media has further opened avenues for entrepreneurs to hone their skillset.

CHALLENGES

Financial Inclusion

Lack of Ease of Access to Loans

- With many women lacking any form of collateral, the MSME entrepreneurs have limited access to loan facilities.
- Since informal enterprises do not have a GST certificate, they have to rely on local moneylenders to finance their business operations which often command high rate of interest. Other sources include self-help group based micro finance particularly relevant for small ticket-sized loans without any collateral.
- Many women entrepreneurs do not have the business registered in their name and it is either in the name of their husband or any other family member which further impedes their loan accessibility. Despite

working for their whole life, they are unable to create any asset in their name (all they get is some jewellery).

- Many women entrepreneurs depend on their jewellery to get liquid cash to run their businesses.
- The government has a special provision of business loans (up to 5 lakhs) for SC/ST. Few woman entrepreneurs were able to avail the same.
- Some entrepreneurs also shared their experiences of how men leverage the microfinance loans in their wives' name and use it for their own asset creation (for example a motorbike), and they (woman) get nothing apart from some form of jewellery.

Bureaucratic Hassles

- Banking and other financial intermediaries seek document verification like GST certificate. However, small informal enterprises do not have the GST certificate and are not able to get loans.
- There was an overall lack of awareness

about the government schemes which implies that the government schemes were only promoted at the surface level and reached the urban or relatively well-off entrepreneurs.

- Some entrepreneurs shared their experience in availing a bank loan and

said that it took up to 1 year to move their application (despite regular follow-ups), defeating the purpose of the loan.

- Middlemen offer help to women entrepreneurs with the procedures of applying for government schemes, seeking a percentage of the loan

Rising Competition and Social Hierarchy

- Social hierarchy is present both within the household (men dominate business and women are engaged in traditional household chores) and at the community level (upper castes engage in business and lower caste or 'dalits' are engaged in precarious work). Consequently, community level hierarchy takes away the business opportunities from dalit entrepreneurs to upper caste communities

amounts for themselves. In such cases, the marginal benefit of receiving the loan decreases (especially if the ticket size is already small). The procedural difficulty of scheme applications thus imposes additional costs.

(even if upper caste business are headed by women).

- Many entrepreneurs also engaged themselves in some form of side business, for example, selling groceries to supplement their income.

Market Connect

Lack of Digital Presence

- The majority of businesses were conducted through 'word of mouth', with little or no digital presence. However, entrepreneurs were aware of the digital channels like 'Flipkart' and 'Amazon.'
- Some participants took part in local exhibitions during the festive season to market/display their products, at a small scale (through small banners or stalls). But such instances were limited as much of the advertisement(s) were for hiring labour and not to market products.
- There were some suggestions like marketing of products through government colleges, mess, canteen, etc. However, this would require handholding at the initial stage.

- There was an overall lag in digital literacy. However, entrepreneurs acknowledged its role in marketing and promotion activities.
- Women entrepreneurs were not aware of platforms like 'GeM' and 'ONDC'.

Market Presence Restricted to Local Area

- Most businesses were restricted to their local area(s) and lacked the knowledge to expand their reach. This was due to limited buyers, price competition, and lack of brand value. As a result, they were only able to sell their products within the city and had no market linkage outside the city.
- Although small businesses got orders from big corporates for garments, they usually operated on a tight deadline.

However, small businesses often found it difficult to cope with the timelines and ended up losing the order. Moreover, big corporates resisted giving orders to women entrepreneurs due to lack of trust in women leadership.

- Despite being the largest export house of India, none of the participants were linked to exports.
- The entrepreneurs were neither associated nor aware of associations like Tiruppur Exporters' Association (TEA), Tamil Nadu Spinning Mills Association (TASMA), and Southern India Mills' Association (SIMA), among others.
- They were also not aware of the Tamil Nadu Handloom Weavers' Co-operative Society Limited (popularly known as 'Co-optex') – a state enterprise for marketing state's products through its effective network of shops throughout the country.

Lack of Unique Value Proposition

- Many entrepreneurs got orders from big corporates but only in low skill garments (no fashion or sophisticated embroidery required) like undergarments

for male and females. To receive orders, they approached the HR department of companies who then visited their production facility and gave the sample order. Once the sample order met their expectations, they received proper orders.

- Targeted training on how to create a brand is essential for women entrepreneurs to create a niche for themselves.

Infrastructural Constraints

- Female entrepreneurs were required to take their own vehicle to deliver the orders of big corporates which added to their cost, regardless of the number of visits to the delivery site.
- They were not aware of the Amma Two-Wheeler Working Women Scheme through which they could get a subsidy of up to 50% for gearless two-wheelers (which could potentially increase their mobility and enable market access).

Technological / Skill Development

Difficulties in upgrading to sophisticated machines

- There were instances where entrepreneurs expressed their interest in upgrading to newer machines/technologies but high upfront costs impeded their progress.
- Although most of the entrepreneurs were aware of the recent technological interventions in their business domain, they lacked manpower and finance to

upgrade to sophisticated machines or new technologies.

Skill Training

- There were instances where women undertook skill training provided by Canara Bank as part of its CSR activity. However, women received only product training. They lacked business process training on scaling up their enterprise, becoming more cost efficient, adopting

new technology, and soft skills like price negotiation, proper display of products, etc.

- Although some got training, many entrepreneurs expressed their inability to acquire any form of training and voiced their concern that training programmes

were not advertised properly at the local/ community level.

- There were a few instances where entrepreneurs took some form of YouTube skill training (design, marketing, etc.), but such instances were a handful.

Regulatory Aid

Low UDYAM Registration

- Although entrepreneurs were associated with READ, most were not registered on the UDYAM portal. This led to lack of traceability and made them ineligible for certain government schemes.
- Although recent efforts have been made to onboard MSMEs on registration portals, outreach programmes to onboard micro and nano enterprises in particular are a must.
- There was a gross unawareness about state/central schemes like ODOP, UDYAM, GST (no certification required if the annual turnover is up to 40 lakhs), and other state specific schemes pertaining to start-ups, textiles, food-processing, etc.

Lack of State Support

- There is a dire need to introduce business-friendly loans to female entrepreneurs. Some of the ways to ensure this encompasses waiving-off the minimum balance requirement in bank account, waiving-off the processing fee for female applicants, eliminating the middlemen who charge brokerage, ensuring timely

disbursal of loans (also expediting for inter and intra-departmental clearances), making the eligibility criteria business-based and not mortgage-based, providing cheaper interest rates to female applicants, sensitising the bank officials about caste based discrimination, among others.

- Government schemes should be properly advertised at the rural level and remote locations and not get restricted to urban conglomerates.
- Private bodies and associations like FICCI, CII, or other state bodies should actively engage with woman entrepreneurs and ensure proper handholding.
- A district level monitoring committee should be set up to ensure the overall development of the MSMEs, especially women MSMEs. Block-level officers should be delegated with necessary powers to reduce the burden of both entrepreneurs and government officials.
- MSMEs should be a part of political discourse for reforms to take place.

Sector-Specific Challenges

Textiles and Apparel

- **Lack of Regular Work:** Owing to small business operations and the lack of regular demand, the women textile workers were often employed on piece rate basis. Moreover, work was available on a discrete basis, i.e., work was available on some and not all days of a month. This was also due to peak and lean demand seasons, i.e. festive seasons saw greater demand while other seasons saw a lull in sales. This was further exacerbated by social hierarchies where women and dalit people struggled to get orders and earn a living.

- **Occupational Sex-Segregation:** It was highlighted by the entrepreneurs that it was relatively easier for their male counterparts to get orders since many big corporates showed trust deficit in case of women-operated businesses.

Food Processing

- **Lack of Infrastructure:** Entrepreneurs faced problems like storage and distribution in their food business (packaged food, tiffin service, etc.) as many shared their experience of the food becoming stale due to the lack of cold storage facilities and distribution channels resulting in many selling their food for free beyond a certain point.

Insights from the Chennai Roundtable



Team PIF with READ Women Entrepreneurs

1. Nurturing Entrepreneurial Spirit and Increasing Awareness

- **Awareness of Government Schemes:** There is a pressing need to enhance awareness about government schemes and the processes to avail them. Many potential entrepreneurs are unaware of the support available, which limits their ability to start and sustain businesses.
- **Entrepreneurship in Education:** Incorporating entrepreneurship as a core module in the education system is essential. This approach would instil an entrepreneurial mind set from a young age, preparing individuals to explore business opportunities effectively.

2. Leveraging the Local Ecosystem

- **Engagement with Local Bodies:** Stakeholders must engage with local panchayats, gram sabhas, and Self-Help Groups (SHGs) to reach grassroots entrepreneurs, especially those in the unorganized sector. This engagement is crucial for broadening the impact of entrepreneurial initiatives.
- **Information Exchange at the Local Level:** Organizing special sessions at local samitis where stakeholders such as banks, regulatory bodies, and related administrative entities can exchange information is vital. These sessions would provide entrepreneurs with the necessary resources and knowledge to navigate the business environment.

3. Expanding the Scope of Training

- **Capacity Building at the Block Level:** There is a need to augment the capacity of skill training programs at the block level. These programs should not be one-time exercises but on-going efforts to ensure sustained skill development.
- **Diversifying Training Modules:** Training programs should move beyond traditional skills like embroidery and stitching. Introducing modules on manufacturing, electronics, electric vehicles (EVs), and green energy would better align with current industry demands and future trends.
- **Entrepreneurship Training:** Training should focus on how to start a business rather than just acquiring skills for employment. This includes familiarizing participants with concepts like project viability, documentation, financing, unit costs, and marginal benefits.

4. Easing the Regulatory Ecosystem

- **Regular Camps for Udyam & GST Registration:** The government should organize regular camps in designated locations to assist entrepreneurs in obtaining Udyam and GST registration. The scope of these camps can also be expanded to aid in acquiring import/export licenses.
- **Importance of Proper Documentation:** Entrepreneurs with well-maintained business documents are more likely to secure financial aid. Regular camps to educate entrepreneurs on the importance of proper documentation would ease regulatory compliance.



Policy Recommendations

01 Multi-Tiered Awareness Programs

Implement multi-tiered awareness programs at the state, district, rural, and urban levels. These programs should involve government bodies, private sector, and NGOs to provide continuous updates on entrepreneurial opportunities and relevant schemes.

02 Targeted Financial Incentives

Introduce targeted incentives (such as financial grants, tax benefits, or scholarships) to encourage maximum participation of women in these awareness programs and entrepreneurial initiatives.

03 Entrepreneurship in Education

Mandate all colleges and universities to incorporate entrepreneurship training and support systems for women, irrespective of their field of study.

04 Third-Party Training Partnerships

Encourage partnerships with third-party organizations to provide specialized training programs accessible to all students.

05 Incubation Centres for Women

Establish incubation centres within educational institutions dedicated to supporting women-led start-ups.

06 Regular Workshops & Camps

Conduct regular workshops and camps to educate women entrepreneurs on maintaining essential documents (GST records, credit history, etc.) and obtaining necessary certifications and licenses (ISO, export licenses, etc.)

07 Data-Driven Continuous Improvement

Use data-driven insights to make necessary adjustments and ensure continuous improvement in supporting women entrepreneurs.



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